

wave three. For a look at how precisely such lines can project “top tick” even in emotional markets, turn to Figures 17-1 (gold) and 18-1 (commodities). One exception to this guideline is depicted by the inset in Figure 2-1, which was published by R.N. Elliott in 1946 (see *R.N. Elliott’s Masterworks*, New Classics Library, 1994). It illustrates that a fifth wave will often exceed the *resistance* line of a parallel trend channel if the fourth wave, near its termination, penetrated the *support* line. As you can see, wave (IV) broke the support line, so wave (V) is ending in a break of the resistance line.

The fact that the stock market is substantially *above* this steadily rising benchmark means that stocks are more expensive than at any other time in the history of the United States. It means that stocks are more expensive than at any time since the investment manias in England and France that ended in 1720, two hundred seventy-five years ago. Chapter 9 demonstrates that this *technical* indication of overvaluation accurately reflects the overvaluation of *real assets* by all relevant measures.

To see if this conclusion is validated by wave guidelines at even larger degree, let’s explore another avenue of inquiry. Because most impulse waves unfold between two parallel lines, we might be able to postulate a trend channel for the *Millennium* degree wave of which these Grand Supercycles are components. At that degree, we are certain of only two terminal years, 1720 and 1784, while being nearly certain that a third one is at hand. Figure 2-2 shows a high price in 1720 that we determined from a study of the behavior of the individual stocks traded at the time. As the graph plots annual averages, not daily extremes, we endeavored to find an equivalent figure. We took into account the majority of issues that went off the board, adjusted the average to reflect the differing times that individual stocks peak and trough, and derived an estimated aggregate decline of 91%. The resulting plot of the 1720 high may or may not be a perfect reflection of “the market,” as no indexes were kept *as such* at the time, but it serves as a reasonable approximation. If you nevertheless choose to discount the analysis that this estimated top supports in the next paragraph and in Chapter 5, you are welcome to do so, as it will have no effect on this book’s essential message.

The postulated peak level in 1720 provides a basis for channel analysis at the highest possible degree. It is commonly the case that subwave two within any third or fifth wave touches the support line of the larger channel. Thus, a preliminary lower line can be drawn